

Table 1.6 Rising (R) versus Falling (F) Volume

	Bull Market, Up Breakout	Bear Market, Up Breakout
Winner	Rising (62%)	Rising (61%)
Performance	44% R, 42% F	29% R, 27% F
	Bull Market, Down Breakout	Bear Market, Down Breakout
Winner	Falling (56%)	Tie (50%)
Performance	−15% R, −15% F	−22% R, −22% F

Table 1.7 Heavy (H) versus Light (L) Breakout Day Volume

	Bull Market, Up Breakout	Bear Market, Up Breakout
Winner	Heavy (79%)	Heavy (79%)
Performance	43% H, 41% L	29% H, 26% L
	Bull Market, Down Breakout	Bear Market, Down Breakout
Winner	Heavy (67%)	Light (55%)
Performance	−15% H, −15% L	−22% H, −22% L

Winner, Performance. The table shows that heavy breakout day volume suggests better performance most of the time. For example, I found that 79% of the time after upward breakouts in bear markets, high volume led to better performance by 29% (for heavy volume) versus gains averaging 26% for patterns with light breakout day volume.

You will notice that the percentage difference is not great, especially after downward breakouts (which show ties). Breakout volume is not as good a predictor of performance as many believe.

Table 1.8: Trend change. This table is different from the others. It shows how often price continues rising or falling more than 20% after the breakout. My thinking is that if a chart pattern shows large post-breakout moves, then it should be easier to make money trading them. Conversely, a pattern that has lots of small moves may be difficult to trade profitably.